ILLINOIS
QUICK AND EASY GUIDE TO LABOR & EMPLOYMENT LAW

PROVIDED BY BAKER DONELSON

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At-Will Employment

Employment contracts in Illinois are presumed to be at will, meaning that an employer or employee may terminate the relationship at any time, without any reason or cause. However, this presumption can be rebutted by showing that the parties contracted otherwise. *Daymon v. Hardin County Gen. Hosp.,* 569 N.E.2d 316, 317 (Ill. App. Ct. 1991). The employer cannot discriminate based on race, color, religion, sex, national origin, ancestry, citizenship status, age, marital status, physical or mental handicap, military service, or unfavorable military discharge in hiring and firing decisions. 775 ILCS 5/2.

Anti-Discrimination

The Illinois Human Rights Act provides protection against discrimination for additional protected classes beyond those protected via Title VII, including ancestry, marital status, protective order status, military status, citizenship status, work authorization status, and arrest and conviction records (in certain circumstances). 775 ILCS 5/1-102, 5/1-103, 5/2-102(A), 5/2-103(A), and 5/2-103.1. Following the amendment in 2024, the Act now protects against discrimination based on reproductive health decisions. 775 ILCS 5/1-102(A).

Non-Compete Agreements

The Illinois Freedom to Work Act prohibits non-compete agreements between an employer and employees earning $75,000 or less per year. That threshold amount is scheduled to increase to $80,000 per year beginning in 2027; $85,000 per year beginning in 2032; and $90,000 per year beginning in 2037. 820 ILCS 90/10. For highly compensated employees, Illinois courts generally disfavor non-compete agreements as a restraint of trade. However, Illinois courts enforce certain non-compete agreements if they are reasonable and supported by adequate consideration. *Reliable Fire Equip. Co. v. Arredondo*, 2011 IL 111871, 16-17 (Ill. 2011).

Immigration Verification

The E-Verify Program is an internet-based program operated by the Department of Homeland Security (DHS) in collaboration with the Social Security Administration that allows participating employers to verify the employment eligibility of newly hired employees electronically. The E-Verify Program is available to employers at no cost and is a voluntary program. The Illinois Right to Privacy in the Workplace Act was recently amended to establish that the Act does not require an employer to enroll in any Employment Eligibility Verification System, including the E-Verify program. 820 ILCS 55/12. This law applies to employers conducting business in the state of Illinois and covers any employee or applicant for employment alleging that their rights and protections under this Act have been denied.

An employer is prohibited from using the E-Verify Program to check the immigration status of current employees or to pre-screen prospective employees who have not been offered a position with the company. In addition, employers or any of their representatives cannot discharge or otherwise retaliate against an employee or prospective employee for filing a complaint with DHS or for remedies sought in favor of the employee or prospective employee. 820 ILCS 55/1-20.

Drug Testing

Illinois requires employers on state public works projects to maintain a drug-free workplace. 30 ILCS 580/3.

Illinois and Recreational Marijuana – 410 ILCS 705/10-5, 705/10-50:

- Illinois legalized recreational marijuana effective January 1, 2020, for those ages 21 and older.
- Employers are not required to permit employee use of marijuana while at work, while performing job duties, or while on call.
- Employers can discipline or terminate an employee for violating the employer's workplace drug policy.
- The law requires certain changes to drug-free workplace policies and procedures:
  - Employers can have policies addressing drug testing, smoking marijuana, marijuana storage, etc., provided that the policy is applied in a nondiscriminatory manner;
  - Employers are not required to accommodate employees who are under the influence, or their use of marijuana in the workplace; and

  - Employers must have "good faith belief" that an employee is under the influence. This can be established using specific, articulable symptoms, but not strictly a drug test.
- Employers should use a positive drug test for marijuana in conjunction with specific signs and symptoms of impairment before taking action:
  - Employers cannot take action based on the use of lawful products (marijuana) outside of work hours.

Paid Leave

Effective January 1, 2024, the Illinois Paid Leave for All Workers Act requires employers to provide employees with up to five days (40 hours) of paid leave during a one-year period. Employees may use their paid leave for any reason. However, employers may require practicable notice for foreseeable leave and may limit the minimum increment for the use of paid leave to as low as two hours per day. The paid leave will begin accruing immediately upon employment at the rate of one hour of paid leave for every 40 hours worked. The employee will become entitled to use paid leave after working for 90 days. Employers may refuse to roll over any unused paid leave to the next year or payout unused paid leave upon termination. Employers providing paid sick leave under county or municipal requirements are exempt from this policy. If the employer already provides a sufficient amount of paid leave for any reason, they are not required to provide additional paid time off under the Illinois Paid Leave for All Workers Act. 820 ILCS 192.

Jury Duty Leave

In Illinois, employers are required to provide employees with unpaid time off for reporting to jury selection or jury duty. This includes time off for employees working night shifts who attend jury duty during the daytime. Employers may require that employees provide the employer with a jury summons and reasonable notice to be given the leave. Employers are prohibited from discharging, threatening to discharge, or otherwise intimidating or coercing an employee due to their missing work to attend jury duty. 705 ILCS 310/10.1.

Voting Leave

Employers must allow employees to take paid voting leave for up to two hours if the employee's working hours begin less than two hours after the opening of the polls and end less than two hours before the closing of the polls. Employers may specify the hours during which employees may be absent to vote, but cannot penalize employees (including a reduction in compensation) for lawfully choosing to take voting leave. Employers may deny an employee the right to take leave to vote if the employee does not apply for the leave before the day of the election. 10 ILCS 5/17-15.

School Visitation Leave

Employers with 50 or more employees in Illinois must provide employed parents and guardians (who are otherwise unable to meet with educators because of work conflicts) with up to eight hours of unpaid time off during the school year to attend conferences, behavioral meetings, or academic meetings related to the employee's child at their children's schools to the extent the conference or meeting cannot be scheduled during nonworking hours. For regularly scheduled, non-emergency conferences or meetings, employees must give the employer a written request for leave at least seven days before the employee intends to use the leave. In emergency circumstances, however, no more than 24 hours' notice is required. This leave can only be taken if the employee has exhausted all other accrued leave time, except sick leave or disability leave. 820 ILCS 147/15, 147/40.

Employees may not be terminated or lose any benefits as a result of their taking school visitation leave. 820 ILCS 147/35.

Parental Leave

Illinois law does not require employers to offer parental leave. Unless the employer has its own parental leave or disability leave policy, employees must rely on the federal Family and Medical Leave Act (FMLA) to take time off for a new child.

Employee Sick Leave – Permissible Uses

An Illinois employer must permit an employee to use personal sick leave benefits provided through an employment benefit plan or paid time off policy for the illness or injury of a family member on the same terms on which the employee may use the benefits for their own illness or injury.

An employer may limit the amount of sick leave that an employee may use for such purposes to an amount not less than the personal sick leave that would be earned or accrued during six months at the employee's then-current rate of entitlement. 820 ILCS 191/10.

Family Bereavement Leave

Illinois employers with 50 or more employees must provide eligible employees with a maximum of two weeks (equivalent to ten workdays) of unpaid bereavement leave. Bereavement leave may be taken to make necessary arrangements for, attend the funeral or an alternative to a funeral, or grieve the death of a covered family member. Additionally, the Illinois Family Bereavement Leave Act (FBLA) allows employees to be absent from work due to a miscarriage, a diagnosis negatively impacting pregnancy or fertility, a failed adoption match, or other qualifying reason. FBLA leave time must be completed within 60 days after the date the employee receives notice of the death of a covered family member or an event that qualifies the employee for FBLA leave. Employees must give their employer at least 48 hours' notice before taking FBLA leave, unless not reasonable and practicable. 820 ILCS 154/5, 154/10. Illinois also recently passed the Child Extended Bereavement Leave Act, which requires employers with at least 50 employees to provide between six and 12 weeks of unpaid leave (depending on employer size) for eligible employees who have lost a child due to suicide or homicide. The law became effective January 1, 2024. 820 ILCS 156/5, 156/10.

Smoking Laws

The Smoke Free Illinois Act prohibits smoking in virtually all public places and workplaces, including offices, theaters, museums, libraries, educational institutions, schools, commercial establishments, governmental vehicles, enclosed shopping centers and retail stores, restaurants, bars, private clubs, and gaming facilities. 410 ILCS 82.

Break Time to Express Milk

In Illinois, employers with more than five employees must provide reasonable break time to an employee who needs to express breast milk for nursing an infant child each time the employee has the need to express milk for one year after the child's birth. The break time may run concurrently with any break time already provided to the employee. An employer may not reduce an employee's compensation for time used for the purpose of expressing milk or nursing a baby. An employer shall provide reasonable break time as needed by the employee unless doing so would create an undue hardship as defined by item (J) of Section 2-102 of the Illinois Human Rights Act. 820 ILCS 260/10, 775 ILCS 5/2-102.

Covered employers are also required to make reasonable efforts to provide a room or other location, in close proximity to the work area, other than a toilet stall, where such employees can express milk in privacy. 820 ILCS 260/15.

Meal Breaks

Illinois requires that employees who work a shift of seven and one-half continuous hours receive a meal period of at least 20 minutes, beginning no later than five hours after the start of the work period. Employees who work more than seven and one-half continuous hours are entitled to an additional 20-minute meal period for every additional four and one-half continuous hours worked. This meal period does not include reasonable time spent using the restroom facilities. 820 ILCS 140/3.

Minimum Wage

Effective January 1, 2025, the Illinois minimum wage is $15 per hour for workers 18 years of age or older. In occupations where gratuities are customarily paid to employees, an employer may pay no less than 60 percent of the minimum wage (currently $9 per hour) to their employees. Employers may apply for licenses to pay sub-

minimum rates to learners and certain workers with physical and mental limitations. Overtime must be paid after 40 hours of work per week at time and one-half the regular rate. 820 ILCS 105/4, 105/4(a), 105/6, 105/10.

Mandatory Rest Days

The Illinois One Day Rest in Seven Act requires all employers to provide covered employees at least 24 consecutive hours of rest in every calendar week in addition to the regular period of rest allowed at the end of each workday. 820 ILCS 140/2(a).

Overtime

In Illinois, no employer shall employ any of their employees for a workweek of more than 40 hours unless such employee receives compensation for their employment in excess of the hours above specified at a rate not less than one and one-half times the regular rate at which they are employed. Some exceptions apply. 820 ILCS 105/4a.

Wage and Recordkeeping

Illinois employers are required to maintain a variety of wage-and-hour records for at least five years. 820 ILCS 112/20. Illinois employers must make and preserve records that document the name, address, and occupation of each employee; the wages paid to each employee; the pay scale and benefits for each position; and the job posting for each position. *Id*. Other provisions of the Illinois code govern recordkeeping requirements for employees who receive paid vacation, tipped employees, employees paid subminimum wages, and for day and temporary labor service agencies. 820 ILCS 175/12, 105/8.

Final Payments

Illinois requires that final paychecks be paid at the time of separation or no later than the next regularly scheduled payday for the employee. The final paycheck can be paid via direct deposit (if an employee previously authorized direct deposit for wages), or by check or payroll pay card, either in person or mailed. The final paycheck should contain the employee's regular wages from the most recent pay period, plus other types of compensation owed, such as commissions, bonuses, and accrued sick and vacation pay. 820 ILCS 115/5.

Unemployment Insurance

Illinois unemployment insurance benefits provide temporary financial assistance to workers unemployed through no fault of their own who meet the state's eligibility requirements. To be eligible for this benefit program, the employee must be a resident of Illinois and meet all of the following:

- Be unemployed;
- Have worked in Illinois during the past 12 months (this period may be longer in some cases);
- Have earned a minimum amount of wages determined by Illinois guidelines; and
- Be actively seeking work each week they are collecting benefits.

Workers' Compensation

The Illinois Workers' Compensation Act requires employers to purchase insurance that covers work-related injuries and occupational diseases regardless of fault; it can also bar an employee from filing a lawsuit against the employer. 820 ILCS 305/1.2. Employers with one or more employees are required to obtain and post notices of workers' compensation insurance (with limited exceptions) (820 ILCS 305/1). Some types of benefits include:

- **Medical care**: care reasonably required to cure or relieve the employee of the effects of the injury. (820 ILCS 305/8(a));
- **Temporary total disability**: compensates a worker totally disabled from work for a temporary period of time. (820 ILCS 305/8(b));
- **Temporary partial disability**: benefits while the employee is recovering from injury but working light duty for less compensation. (820 ILCS 305/8(a));
- **Permanent partial disability**: compensates for permanent damage even if the employee returns to work. (820 ILCS 305/8.1b);

- **Permanent total disability**: compensates the employee rendered permanently unable to work. (820 ILCS 305/8(f) & (g)); and
- **Death benefits**: for surviving family members if the employee dies from a work-related injury or disease. (820 ILCS 305/8(b) & (g)).

Child Labor

The Illinois Child Labor Law of 2024 regulates the employment of workers under the age of 16 and prohibits most work by children under the age of 14. The Illinois Department of Labor, through its Fair Labor Standards Division, administers and enforces the Child Labor Law. Minors who are authorized to work in Illinois are subject to restrictions on when they can work and how many hours they can work. The exact restrictions in effect depend on the age of the minor and are designed to ensure that work does not interfere with the minor's schooling. A new Child Labor Law was passed in Illinois in 2024 that largely incorporated the provisions of 820 ILCS 205 and added new provisions that took effect on January 1, 2025. 820 ILCS 206.

Gun Laws

Employers may prohibit employees from bringing weapons on their property if they post a conspicuous sign to that effect in certain situations. Employers may not prevent employees with concealed carry licenses from storing those firearms or ammunition in a locked vehicle out of view in the employer's parking area. 430 ILCS 66/65.

Whistleblowing

Illinois law prohibits employment policies that prevent employees from disclosing information to a government or law enforcement agency if the employee has reasonable cause to believe that the information discloses a violation of a state or federal law, rule, or regulation. Employers are also prohibited from retaliating against an employee for disclosing information where the employee has reasonable cause to believe that the information discloses a violation of such an order. The Illinois Whistleblower Act was recently amended and expanded to protect employees who disclose information that they believe in good faith poses a substantial and specific danger to employees, public health, or safety. 740 ILCS 174/15.

Artificial Intelligence Video Interview Act

Some employers use artificial intelligence technologies to conduct hiring interviews. Before an employer conducts an artificial intelligence interview for positions based in Illinois, the employer must notify the applicant that artificial intelligence will be used to analyze the applicant's interview, provide the applicant with information explaining how the artificial intelligence interview works, and obtain consent from the applicant to be evaluated by the artificial intelligence program. Also, upon request from the applicant, employers must delete an applicant's interviews and instruct any other people who received copies of the applicant's video interviews to delete the videos within 30 days after receipt of the request. 820 ILCS 42/5, 42/15.

Employers who rely solely upon an artificial intelligence analysis of a video interview to determine whether an applicant will be selected for an in-person interview must collect and report demographic data about the applicants to the Department of Commerce and Economic Opportunity annually by December 31. 820 ILCS 42/20.

Pay Transparency

Effective January 1, 2025, Illinois law requires employers with 15 or more employees to disclose pay scales and benefits in job postings for jobs that will be performed, at least in part, in Illinois as well as those performed outside of Illinois, if the employee will report to a supervisor, office, or other worksite located in Illinois. These pay transparency requirements apply to both internal and external job postings. The inclusion of a hyperlink to a publicly viewable webpage that includes the pay scale and benefits satisfies Illinois' pay transparency requirements.

Required disclosures include the anticipated wage or salary, or a wage or salary range, plus a general description of benefits and other compensation (including bonuses, stock options, and other incentives) the employer reasonably expects to offer for the position. Employers may refer to any applicable internal pay

scale, the previously determined pay range for the position, the actual pay range of others currently holding equivalent positions, or the budgeted amount for the position, as applicable, when setting the anticipated wage or salary and benefits for the posted position.

Illinois law also requires covered employers to announce, post, or otherwise make known all opportunities for promotion to current employees within 14 days after making an external job posting for the same position. 820 ILCS 112/10.

Captive Audience Law

Effective January 1, 2025, the Illinois Worker Freedom of Speech Act (WFSA) bans so-called "captive audience" meetings. The WFSA prohibits employers from taking, or threatening to take, adverse action against employees who decline to attend or take part in employer-sponsored meetings about the employer's religious or political opinions. This includes employer-sponsored meetings about the employer's opinions on unions. 820 ILCS 57/15.

The WFSA permits employers to conduct meetings to share opinions on religious or political matters if employee participation is voluntary. 820 ILCS 57/35.

The legality of the WFSA has been challenged as impermissibly restricting employer speech under the First Amendment to the U.S. Constitution; however, the WFSA currently remains in effect.

Plant Closings and Mass Layoffs

The Illinois Worker Adjustment and Retraining Act (WARN) applies to smaller businesses and smaller-sized layoffs than the federal WARN Act. Illinois WARN requires employers with 75 or more full-time employees to give employees and state and local government officials 60 days' advance notice of a plant closing or mass layoff. A "mass layoff" under Illinois WARN is a reduction in force at a single site of employment that is not the result of a "plant closing" and results in employment losses during any 30-day period of 25 or more full-time employees if they constitute one-third or more of full-time employees at the site, or 250 or more full-time employees. A "plant closing" under Illinois WARN is a temporary or permanent shutdown of a single site of employment that, during any 30-day period, results in the employment loss of at least 50 full-time employees. An employer that fails to provide notice as required by law may be found liable to each affected employee for back pay and benefits for the period of the violation, up to a maximum of 60 days. The employer may also be subject to a civil penalty of up to $500 for each day of the notice violation. 820 ILCS 65.